

ADVANTAGE Daily Drilling Fluids Report - 3



INTEQ

Rpt Date 03/Oct/2006		Well Name/No Bilabri D3		Section Name/No 36" Riserless Section #1		Mud System Gel/Polymer	
Job# 1		Spud Date		MD 0.00 m		Progress 0.00 m	
Operator Peak Petroleum Indust. Limited		Company Rep Chris Newton / Tom May		Contractor Dolphin Drilling Ltd		Contractor Rep Ally Tough / Troy Nolan	
Field/Lease Bilabri		Blk/Co/Parish OML - 122 / Nigeria		Area Offshore		Country/State Nigeria	
						Rig BULFORD DOLPHIN	

Drilling Assembly			Casing			Volumes	Pump Information						
Bit Gauge in	Mfr	Bit Model	OD in	ID in	Depth m	bbl	Model	Liner in	Stroke in	Eff %	Vol/Stk bbl	Stk Rate SPM	Circ Rate USgal/min
0						Total Hole	Continental Ensco FA-1600		12.00	97.0		0	
Drill Collars						0	Continental Ensco FA-1600		12.00	97.0		0	
Drill Pipe						Active Pits	Continental Ensco FA-1600		12.00	97.0		0	
OD in	ID in	Length m	OD in	ID in	Length m	252							
						Tot Active							
						252	Circulation Times						
						In Storage	Surface to Bit	min/stks			Total System	min/stks	
						1106	Bottoms Up	min/stks					

Mud Properties				Max Ann Velocity		Hole Information			
Property	Fluid Spec	1	2	3	AV Riser	ft/min	Standpipe Pressure	psi	Water Depth
Check Time		00:00			AV Casing	ft/min	Hole Flow	USgal/min	Riser Booster Rate
					AV Open Hole	ft/min	Solids Analysis		
					Vc Open Hole	ft/min	Property	1	2
					Vc Drill Pipe	ft/min		3	4
					Min Ann Velocity				
					AV Riser	ft/min			
					AV Casing	ft/min			
					AV Open Hole	ft/min			
					Bit Information				
					Size				
					Hours On Bit				
					Bit Number				
					BHA Number		Rheology		
					Depth In		600 RPM		
					Bit RPM		300 RPM		
					WOB		200 RPM		
					Nozzles		100 RPM		
					Bit Hydraulics		6 RPM		
					TFA		3 RPM		
					Nozzle Vel	ft/sec			
					Bit Press Loss	psi			
					HHP / Area	HP/in^2	Hydraulic Analysis		
					HHP	%	Behavior Index (n)		
							Consistency Index (k)	#sec^n/100ft^2	
							ECD @ Bit Depth	ppg	
							ECD @ Casing Shoe	ppg	
Fluid Comments/ Recommendations									
Prepared another 307 bbls of hi-vis Guar Gum/Polymer mud - total 984 bbls, and increased kill mud volume to 374 bbls at 10.5 ppg. Biocide added to all pits to preserve Polymers.									
Drilling Comments									
Completed m/u jetting assembly and p/u drillpipe and collars. R/u and runing 36" casing.									

BHDF Fluids Rep	BHDF Rep Phone	Warehouse	Warehouse Phone	Coordinator	Daily Cost	Cumulative Cost	Inventory Value	Page 1
Jerry Laydoo / Ayo Okomayin	234-803-402-0440	Onne	234-84-462609	Lawson Ogaree	10639.15 USD	43961.00 USD	472074.22 USD	

Any opinion and/or recommendation, expressed orally or written herein, has been prepared carefully and may be used if the user so elects, however, no representative or warranty is made by ourselves or our agents as to the correctness or completeness, and no liability is assumed for any damages resulting from the use of same.

ADVANTAGE Daily Drilling Fluids Report - 3



INTEQ

Rpt Date 03/Oct/2006		Well Name/No Bilabri D3		Section Name/No 36" Riserless Section #1				Mud System Gel/Polymer			
Job# 1		Spud Date		MD 0.00 m		Progress 0.00 m		Present Activity Run Casing			
Operator Peak Petroleum Indust. Limited		Company Rep Chris Newton / Tom May		Contractor Dolphin Drilling Ltd		Contractor Rep Ally Tough / Troy Nolan					
Field/Lease Bilabri		Blk/Co/Parish OML - 122 / Nigeria		Area Offshore		Country/State Nigeria		Rig BULFORD DOLPHIN			

Solids Control Equipment							
Name	#	Mfr	Hours hours	Screen Sizes	Act Volume Lost bbl	Res Volume Lost bbl	Comments
CENTRIFUGE	1	SWACO	0.0		0.0	0.0	
CENTRIFUGE	2	SWACO	0.0		0.0	0.0	
DESANDER	1	SWACO	0.0		0.0	0.0	
DESILTER	1	SWACO	0.0		0.0	0.0	
MUD CLEANER	1	SWACO	0.0		0.0	0.0	
SHALE SHAKER	1	Brandt	0.0		0.0	0.0	
SHALE SHAKER	1	Derrick Equipments Co	0.0		0.0	0.0	
SHALE SHAKER	2	Brandt	0.0		0.0	0.0	
SHALE SHAKER	2	Derrick Equipments Co	0.0		0.0	0.0	
SHALE SHAKER	3	Derrick Equipments Co	0.0		0.0	0.0	
SHALE SHAKER	3	Brandt	0.0		0.0	0.0	
Total Volume Lost					0	0	

Volumes							
Additions bbl			Losses bbl		Total Volumes bbl		
Mud Added	Weight Materials		Downhole	Left In Pit	Starting Volume		
Brine	Water	329	Cased Off	Trip Losses	Daily Additions	339.6	Riser w/o Pipe
Base Fluid	Product	4.6	Left In Hole	Injected	Daily Losses		Open Hole w/o Pipe
Recycled	Other		Discharged	Spill To Environment	Ending Volume	1358.6	String Displacement
			SCE	Onshore Disposal	Net Change	339.6	String Capacity
			Evaporation	Returned			Total Hole w/ Pipe
			Other Losses				Total Active
							252.0
							Total Reserve
							1106.0

IADC Hours							
Run Casing		11	Work Tubulars		6	Miscellaneous	
							7

Primary Currency USD		Secondary Currency		Totals USD	
Daily Product Cost	9289.15	Daily Product Cost	0.00	Primary Product	40079.75
Daily Tax	0.00	Daily Tax	0.00	Secondary Product	0.00
Debit/Credit	0.00	Debit/Credit	0.00	Primary Engineering	3881.25
Daily Engineering Cost	1350.00	Daily Engineering Cost		Secondary Engineering	0.00
Total Daily Cost	10639.15	Total Daily Cost	0.00	Primary Total	43961.00
Total Inventory Value	472074.22	Total Inventory Value	0.00	Secondary Total	0.00
				Deck Load	944934 lb

Products and Services													
Product	Units	Start	Transferred In	Received	Returned	Lost	Daily Use	Final	Unit Price USD	Daily Cost USD	Active Ending Concentrations lb/bbl	Reserve Ending Concentrations lb/bbl	
Oil Based Product													
PARA-TEQ	1 bbl	863						863	280.00				
Water Based Product													
CAUSTIC SODA	25 kg	11					1	10	37.89	37.89		0.15	
MIL-BAR	1000 kg	47		75			4	118	540.00	2160.00		37.85	
MIL-GUAR	25 kg	280					13	267	135.00	1755.00		2.64	
MIL-PAC R	55 kg	154					5	149	155.00	775.00		3.94	
POTASSIUM CHLORIDE BRINE	1 bbl	1036						1036	46.85			58.57	
SAW DUST	25 kg	29						29	12.50				
SODA ASH	25 kg	38					1	37	73.40	73.40		0.15	
Xanthan Gum	25 kg	174					13	161	345.22	4487.86		0.95	
XCIDE 102	55 USgal								2508.30			0.40	

BHDF Fluids Rep		BHDF Rep Phone		Warehouse		Warehouse Phone		Coordinator		Daily Cost		Cumulative Cost		Inventory Value		Page 2	
Jerry Laydoo / Ayo Okomayin		234-803-402-0440		Onne		234-84-462609		Lawson Ogaree		10639.15 USD		43961.00 USD		472074.22 USD			

Any opinion and/or recommendation, expressed orally or written herein, has been prepared carefully and may be used if the user so elects, however, no representative or warranty is made by ourselves or our agents as to the correctness or completeness, and no liability is assumed for any damages resulting from the use of same.